European Civil Aerospace

Risks of an aftermarket downturn are increasing

On April 7th we published a sector report (here), arguing that as we enter Q2 26 "we believe the risks for European Civil Aerospace (ECA) may be skewed to the downside (albeit with a wide range of outcomes)." As we finish writing this update, President Trump has just announced he will extend the ceasefire with Iran (it was due to end on April 22nd) but also continue to blockade the Strait of Hormuz which means there is still a wide range of outcomes for the war, the price/availability of jet fuel, and the ECA industry. However, we believe the risks for the ECA industry are increasing, especially for the aero engine companies that generate most of their profits from the aftermarket. **We see the biggest financial risks for MTU Aero Engines and Melrose**; both companies already have depressed FCF as they deal with the financial impact of the GTF engine recall. **We see the biggest valuation risks for Rolls-Royce and Safran**; both companies are exceptionally profitable and cash generative but both trade on high multiples. **Airbus should be relatively resilient on the demand side, but is still struggling with ramp-up issues.**

- **Jet fuel price has dropped but is still very high**: Since our April 7th report, the price of European jet fuel has fallen 20%, but it remains up 108% YTD (Figure 1). To offset this increase (assuming no fuel hedging and all other things being equal) the average airline would need to raise its fares by 27% (108% * 25%); such an increase in fares, if sustained, would likely have a very negative impact on global air traffic.
- **European jet fuel shortages possible in June**: On April 21st our European Oil & Gas Team published a sector update (here). They wrote that: "Jet fuel is <10% of global oil consumption but exhibits greatest risk of impending supply scarcity. Europe's setup is made precarious by: (1) jet being the product it's shortest; net imports 0.5mb/d equate to an eye-watering 30%+ of 1.6mb/d demand; (2) 70% of imports are usually sourced from the M.East; (3) commercial inventory cover into the conflict was modest at sub-40 days ie: 1.0-1.5 months. High technical specifications limit domestic refiners capability to meaningfully raise jet production and reports suggest only 50% of lost M.East flows are being backfilled (mainly from the US). This makes EU jet highly sensitive to a Strait of Hormuz re-opening. Absent this or meaningful policy intervention, our scenario analysis indicates continued 50% replacement would trigger isolated but evident shortages by June as days cover drops ≤20 days."
- **Airline profit forecasts - meaningfully down**: In recent weeks, several JPM Airline analysts have lowered their forecasts for airline profitability. In the US, Jamie Baker has lowered his 2026 EPS estimates for the three largest airlines by 42% to 80%, and he expects five other airlines to generate a loss (here). In Europe, Harry Gowers has lowered his FY1/FY2 EBIT estimates by an average of 23%/11% (here). (Unlike US airlines, European airlines hedge their fuel costs and this provides some protection to near-term profits.)
- **Global air traffic - GE Aerospace expects a significant slowdown in 2026**: On April 21st GE Aero (covered by Seth Seifman) reported its Q1 26 results.

European Aerospace & Defense

David H Perry, CFA AC
(44-20) 7742-5606
david.h.perry@jpmorgan.com
J.P. Morgan Securities plc

Lucy Fitzgerald
(44 20) 3493-5251
lucy.fitzgerald@jpmorgan.com
J.P. Morgan Securities plc

Jash R Naik
(91 22) 6157-3797
jash.naik@jpmchase.com
J.P. Morgan India Private Limited

Specialist Sales contact details:

Sam Edmunds - Specialist Sales - European Industrials
(44-20) 7742-8733
sam.edmunds@jpmorgan.com

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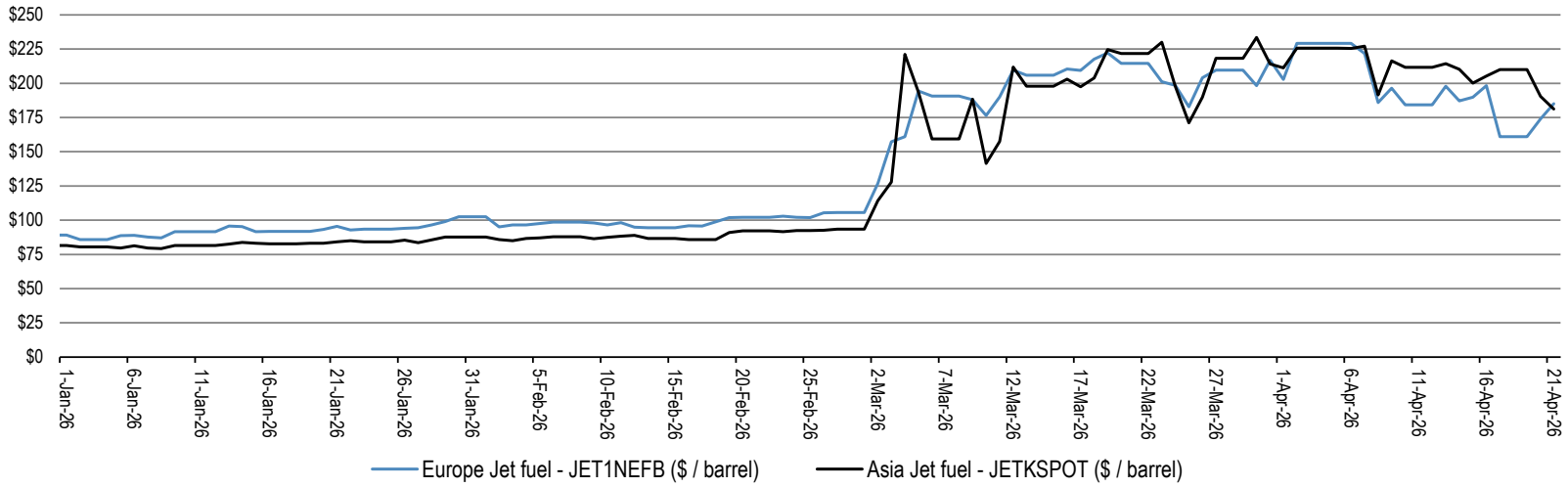
GE guides on global aircraft departures, which is a very good proxy for global air traffic. It lowered its guidance for 2026 departures to "flat/+LSD" from "+MSD". As we show in Figure 2, if this forecast is correct (and we suspect it will be correct) then global air travel growth in 2026 will be broadly similar to what we saw in 2008. The GFC led to two years of depressed air traffic (2008-09) and it is far too early to make a prediction about 2027. However, the fact that GE made several references to the 2008 GFC today is certainly an alarm bell in our view.

- **...followed by an aftermarket slowdown in 2027**: In its Q1 26 slide deck, GE pointed out that when air traffic slowed down in 2008 there was a 12-month lag until the civil aero industry faced an aftermarket downturn. We show this 2009 downturn in Table 1. We have not yet cut our aftermarket forecasts for 2026-27E (Table 1) as we have been waiting for more visibility on global air traffic trends. If GE's analysis is correct, then there is clearly signifcant downside to JPM / consensus forecasts for the civil aero aftermarket in late 2026 and FY27.
- **Airbus - is it a safe haven….perhaps**: In recent weeks, many investors have asked us if AIR is the best ECA stock to own. The logic here is that a high jet fuel price will lead airlines to retire old, inefficient planes and to take delivery of new, more fuel efficient planes. We do not dispute this logic, but there are two caveats. First, if we get a very severe industry downturn (e.g. jet fuel prices remain very high for a long time; major global airline distress), then we would expect some airlines to defer deliveries; this is not our base case. Second, AIR's deliveries in 2026 YTD have been very weak (Figure 3) due to issues with its supply chain; our current 2027-28E EPS (before factoring in the potential impact of the M.East conflict) are 6%/12% below BBG median consensus as we take a more conservative view on the delivery ramp and operational leverage. We think AIR's valuation is quite attractive and it would actually be helpful if the consensus was reduced; in our view, one of the main problems for the shares is that AIR has been unable to meet an aggressive consensus in recent years.
- **MTU and Melrose may have the biggest financial risk**: MTU and Melrose, as suppliers to Pratt & Whitney, both have depressed FCF in 2026E and 2027E (Table 2). This refects that they need to share the cash costs of the GTF recall programme (which should be largely complete by end 2026) and that the GTF programme is not expected to turn cash flow positive until 2028 (according to Melrose). As such, they have less financial buffer should we enter an aftermarket slowdown / downturn.
- **Rolls-Royce and Safran have the most valuation risk**: Table 2 shows that RR and SAF are currently in rude health, generating very strong FCF. In the event of an aftermarket downturn, we would expect both companies to still generate signifcant FCF, albeit less than JPM / consensus currently expects. However, we do worry that both stocks are vulnerable to a valuation de-rating. Table 3 shows that RR is currently trading on a 2026-28E P/E of 33x/28x/24x and SAF on 30x/23x/20x. Unfortunately, in prior ECA industry downturns, the sector has seen its average P/E drop to 6-8x (Figure 4).
- **Ending on a more optimistic note**: We have covered the A&D sector since 1998 and been through many downturns (9/11; GFC; COVID-19). They are painful and share prices often overreact, especially in the short-term. However, the sector has always bounced back and hit new highs. It is important to remember that civil aviation is a long-term growth industry. Only c20% of the world's population has ever taken a commercial flight. Every year, millions of people in emerging markets enter the "middle class" income bracket and one of the things they most want to do is fly (for holidays; to see family; for work). Over time, global air travel consistently grows faster than global GDP. We don't expect this to change. For long-only and/or long-term investors, the debate at the start of a potential downturn is always the same: do I tough this out or do I sell my shares now and buy back later. We don't have an answer to this question right now but we are here to help investors with any questions / data requests / model requests.

David H Perry, CFA AC
(44-20) 7742-5606
david.h.perry@jpmorgan.com

J.P.Morgan

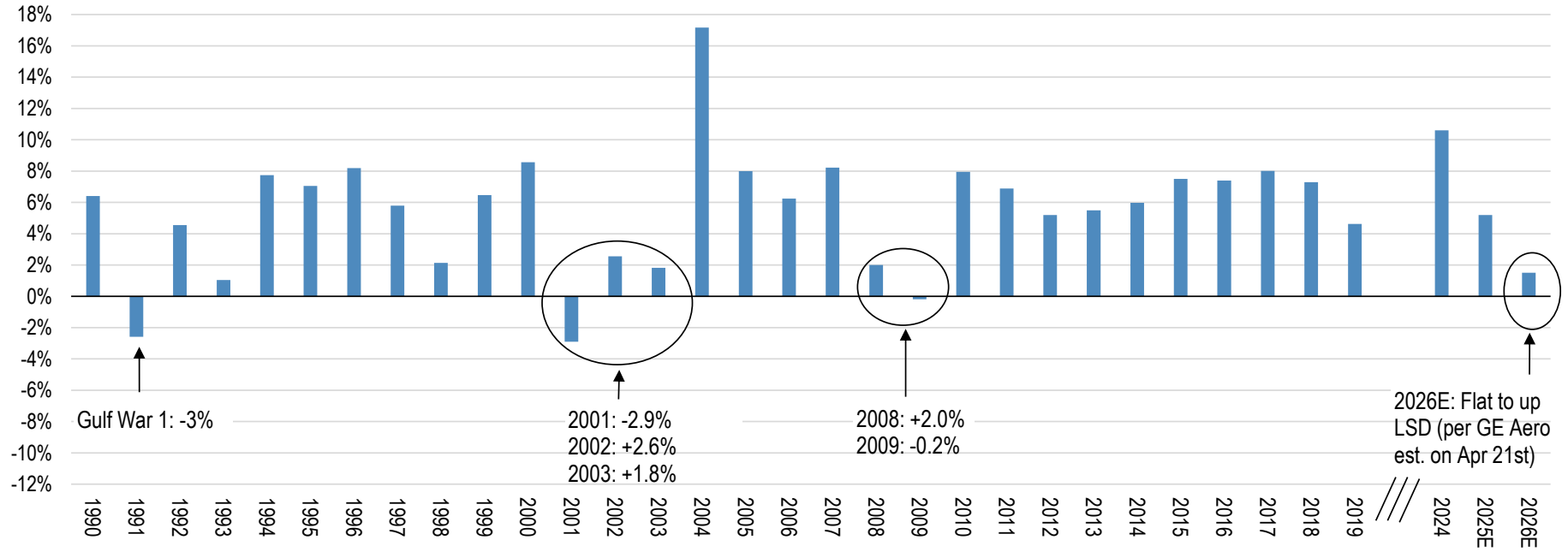
Figure 1: Jet fuel spot price in $ / barrel – 2026 YTD



Source: Bloomberg Finance L.P. (Apr 21st, 2026)

David H Perry, CFA AC
(44-20) 7742-5606
david.h.perry@jpmorgan.com

Figure 2: Global air traffic, 1990 to 2026E (excl. 2020 to 2023)



Source: IATA (December 2025)

David H Perry, CFA AC
(44-20) 7742-5606
david.h.perry@jpmorgan.com

J.P.Morgan

Table 1: Civil aerospace aftermarket organic sales growth, 2014 to 2027E (not updated for the potential impact of the M.East conflict)

Organic AM growth yoy (1)	Financial crisis & rebound				"Normal times"							COVID-19 and recovery				"Normal times"			
	09A	10A	11A	12A	13A	14A	15A	16A	17A	18A	19A	20A	21A	22A	23A	24A	25A	26E	27E
Avg price of Brent Crude ($/b)	62	79	111	112	109	100	54	45	55	72	65	42	71	101	83	81	70	tbc	tbc
Avg price of Jet kerosene ($/b)	71	91	128	130	125	115	67	52	67	86	80	47	78	139	112	99	90	tbc	tbc
MTU (spares sales)	-8%	4%	14%	0%	0%	7%	3%	5%	10%	12%	8%	-29%	5%	18%	19%	12%	12%	13%	10%
P&W (aftermarket sales)	-14%	10%	13%	-10%	7%	4%	5%	12%	14%	12%	2%	-33%	13%	23%	20%	14%	22%	9%	9%
Safran Prop. (all aftermarket)	-4%	-11%	8%	9%	19%	11%	19%	6%	11%	12%	10%	-43%	7%	29%	33%				
Safran Prop. (spare parts) (1)																17%	18%	15%	10%
GE (2)	*-1%*	*8%*	*14%*	*-11%*	*14%*	*20%*	*23%*	*5%*	*24%*	*17%*	*13%*	-46%	10%	43%	30%	12%	26%	15%	12%
Engine avg (unweighted)	**-7%**	**3%**	**12%**	**-3%**	**10%**	**11%**	**12%**	**7%**	**15%**	**13%**	**8%**	**-38%**	**9%**	**28%**	**25%**	**14%**	**20%**	**13%**	**10%**
Collins Aerospace	-14%	8%	16%	3%	8%	10%	1%	3%	10%	12%	14%	-36%	4%	28%	27%	12%	13%	10%	6%
TransDigm (3)	n/a	n/a	n/a	2%	1%	11%	3%	7%	4%	8%	9%	-38%	9%	39%	29%	9%	13%	13%	8%
Honeywell	-19%	3%	18%	9%	3%	3%	2%	3%	6%	5%	7%	-34%	9%	23%	22%	14%	10%	7%	6%
Meggitt	-21%	6%	12%	-1%	0%	5%	3%	5%	6%	8%	8%	-41%	7%						
Equipment avg (unweighted)	**-18%**	**6%**	**15%**	**3%**	**3%**	**7%**	**2%**	**5%**	**7%**	**8%**	**9%**	**-37%**	**7%**	**30%**	**26%**	**12%**	**12%**	**10%**	**7%**

(1) From 2024 Safran separately reported spare parts and services; services growth is partly influenced by IFRS 15 accounting so we don't show it

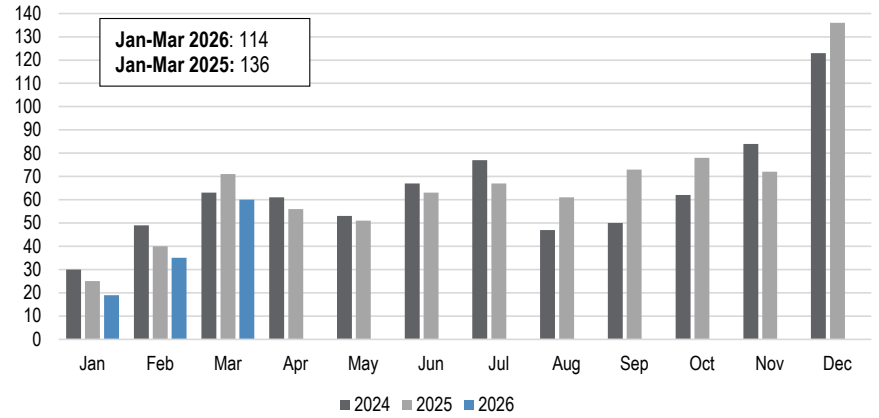
(2) Historically GE reported yoy growth in spare parts sales. More recently it has reported organic growth for all commercial aero services (ie. spares and MRO). We have annual data on the new basis from 2020

(3) Transdigm: history is calendar year; forecast is fiscal year

Source: Companies; J.P. Morgan estimates

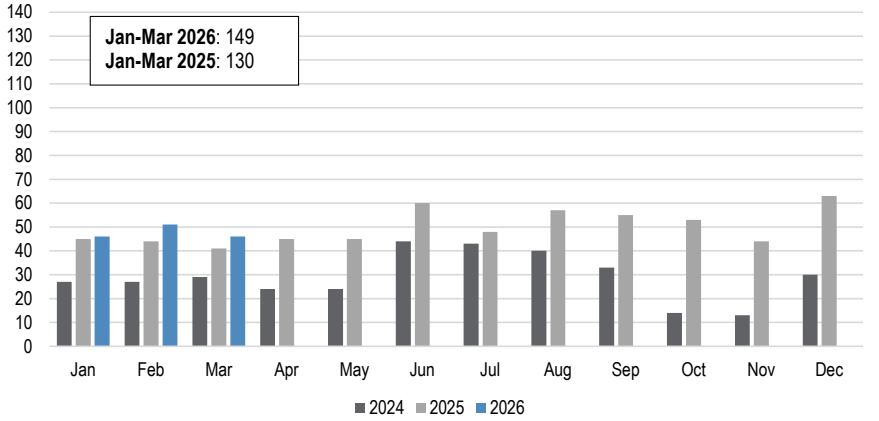
David H Perry, CFA [AC]
(44-20) 7742-5606
david.h.perry@jpmorgan.com

Figure 3: Airbus monthly deliveries



Source: Company data

Figure 4: Boeing monthly deliveries



Source: Company data

David H Perry, CFA AC
(44-20) 7742-5606
david.h.perry@jpmorgan.com

Table 2: FCF/Net income and FCF/Sales by company in European Civil Aero sector

FCF / Net income*		19A	20A	21A	22A	23A	24A	25A	26E	27E	28E	29E	30E	26-30E Avg
Airbus	Fr	35%	n/m	83%	93%	70%	95%	79%	74%	89%	93%	95%	96%	90%
Safran	Fr	69%	111%	205%	215%	135%	97%	112%	108%	86%	86%	84%	86%	90%
Rolls-Royce	UK	218%	n/m	n/m	180%	106%	136%	128%	125%	134%	130%	126%	122%	127%
MTU Aero Engines	Ger	57%	24%	46%	52%	44%	3%	29%	41%	56%	64%	70%	75%	61%
Melrose	UK				-152%	-5%	-21%	30%	38%	49%	58%	66%	72%	56%
Senior	UK	71%	n/m	n/m	n/m	8%	23%	23%	84%	88%	90%	92%	93%	89%
Meggitt	UK	87%	13%	26%										
Civil Aero Unweighted avg		**89%**	**49%**	**90%**	**78%**	**60%**	**55%**	**67%**	**78%**	**84%**	**87%**	**89%**	**91%**	**86%**

FCF / Sales*		19A	20A	21A	22A	23A	24A	25A	26E	27E	28E	29E	30E	26-30E Avg
Airbus	Fr	2.3%	-7.4%	5.4%	6.4%	4.7%	5.5%	5.9%	5.3%	6.4%	7.1%	7.6%	7.8%	6.9%
Safran	Fr	7.4%	5.7%	10.2%	13.3%	11.8%	10.9%	11.4%	12.4%	11.7%	12.0%	12.1%	11.8%	12.0%
Rolls-Royce	UK	4.3%	-38.3%	-15.3%	3.3%	7.9%	13.0%	15.9%	16.9%	18.6%	18.9%	19.0%	19.2%	18.5%
MTU Aero Engines	Ger	6.6%	1.8%	3.8%	4.6%	4.1%	0.3%	3.3%	4.5%	6.0%	6.9%	7.5%	8.2%	6.6%
Melrose	UK				-3.0%	-0.4%	-2.1%	3.5%	4.6%	6.8%	9.0%	11.4%	13.2%	9.0%
Senior	UK	4.3%	3.2%	0.7%	2.4%	0.3%	0.7%	1.2%	4.3%	5.4%	6.4%	7.2%	7.7%	6.2%
Meggitt	UK	11.1%	1.0%	2.1%										
Civil Aero Unweighted avg		**6.0%**	**-5.7%**	**1.2%**	**4.5%**	**4.7%**	**4.7%**	**6.8%**	**8.0%**	**9.1%**	**10.1%**	**10.8%**	**11.3%**	**9.9%**

*We use the J.P.Morgan defined FCF (post all items except dividends, M&A, FX as a % of the company defined sales

Source: Company reports, J.P. Morgan estimates

David H Perry, CFA AC
(44-20) 7742-5606
david.h.perry@jpmorgan.com

J.P.Morgan

Table 3: Global Civil Aero – Val multiples

		Rec. (A)	Price	PT	PT Basis	Up-side	JPM def. FCF yld (1)					Simple P/E (co. def. EPS)					JPM clean P/E (2)					JPM EV / EBITA (3)					Div yld (4)
							CY26	CY27	CY28	CY29	CY30	CY26	CY27	CY28	CY29	CY30	CY26	CY27	CY28	CY29	CY30	CY26	CY27	CY28	CY29	CY30	CY26
Airbus	Fr	OW	171	225	Dec-27	32%	3.1%	4.2%	5.2%	6.2%	6.9%	23.8	21.2	18.0	15.4	14.0	25.7	22.7	19.1	16.1	14.6	17.2	15.6	13.0	10.7	9.4	1.9%
Safran	Fr	OW	282	400	Dec-27	42%	3.7%	3.8%	4.4%	4.7%	4.9%	29.5	22.6	19.7	17.9	17.4	29.8	22.8	19.8	18.0	17.4	20.5	17.3	14.9	13.3	12.7	1.2%
Rolls-Royce	UK	OW	1,180	1,500	Dec-27	27%	3.8%	4.7%	5.5%	6.1%	6.7%	32.5	28.2	23.8	20.6	18.1	33.5	29.0	24.3	21.0	18.4	23.3	20.3	17.4	14.9	12.9	0.9%
MTU Aero	Ger	OW	312	465	Dec-27	49%	2.6%	3.8%	4.8%	5.8%	6.9%	16.0	14.8	13.4	12.1	10.8	16.6	15.2	13.6	12.2	10.9	13.2	11.8	10.6	9.4	8.3	1.2%
Melrose	UK	OW	532	750	Dec-27	41%	2.6%	4.4%	6.3%	8.5%	10.6%	14.4	11.1	9.2	7.8	6.8	13.7	10.7	8.9	7.6	6.6	12.1	9.9	8.3	7.0	5.9	1.4%
Eur Civil Aero avg							**3.2%**	**3.8%**	**4.6%**	**5.4%**	**6.3%**	**26.8**	**22.6**	**19.4**	**17.0**	**15.5**	**27.2**	**21.9**	**18.1**	**15.4**	**13.4**	**19.9**	**15.8**	**13.1**	**11.1**	**9.5**	**1.2%**
Boeing	US	OW	219	270	Dec-26	23%	1.1%	3.1%	4.8%	6.2%	7.3%	n/m	n/m	n/m	n/m	30.0											
General Electric	US	OW	287	335	Dec-26	17%	2.8%	3.0%	3.3%	3.7%	4.0%	38.8	34.5	30.5	27.4	25.3											
Howmet Aero	US	OW	248	265	Dec-26	7%	1.7%	2.0%	2.3%	2.7%	2.9%	53.5	45.5	39.3	34.9	31.4											
Standard Aero	US	OW	25.1	38.0	Dec-26	51%	3.4%	4.8%	6.0%	6.9%	7.8%	17.7	14.8	12.7	11.2	10.0											
TransDigm	US	N	1,206	1,440	Dec-26	19%	3.2%	3.9%	4.3%	4.8%		29.1	25.1	22.4	20.3												
US Civil Aero avg							**2.5%**	**3.4%**	**4.1%**	**4.8%**	**n/a**	**34.8**	**30.0**	**26.2**	**23.4**	**n/a**											

(A) US A&D stocks are covered by Seth Seifman

(1) JPM def. FCF is post everything except fines, M&A, dividends, share buyback/issuance, FX/other valuation adjustments. (4) Div yld is based on cash dividends to be paid in the relevant cal. year.

(2) JPM clean P/E is EPS adj. for capitalised costs, BTL exceptionals, and pension finance charges when companies exclude them.

(3) JPM def. EV includes op leases, factoring, net pension deficits, govt launch aid, excess cust. advances, and net cash provisions still to be utilised. JPM def. Clean EBITA is after deducting below the line exceptional items we deem to be operational and after deducting net capitalised R&D; we also add back est. interest on excess customer advances.

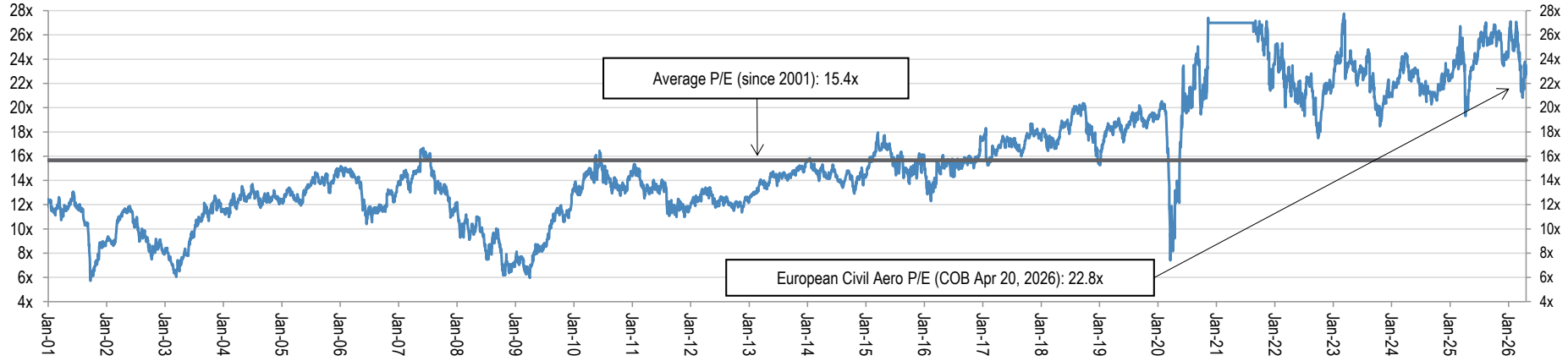
Source: J.P. Morgan Research estimates; Bloomberg Finance L.P. (Prices as at close April 21, 2026.) (JPM ratings: OW = Overweight; N = Neutral; UW = Underweight; NR = Not rated.)

David H Perry, CFA AC
(44-20) 7742-5606
david.h.perry@jpmorgan.com

J.P.Morgan

Figure 5: European Civil Aero (ECA) – 12-month forward P/E since 2001 (IBES consensus)

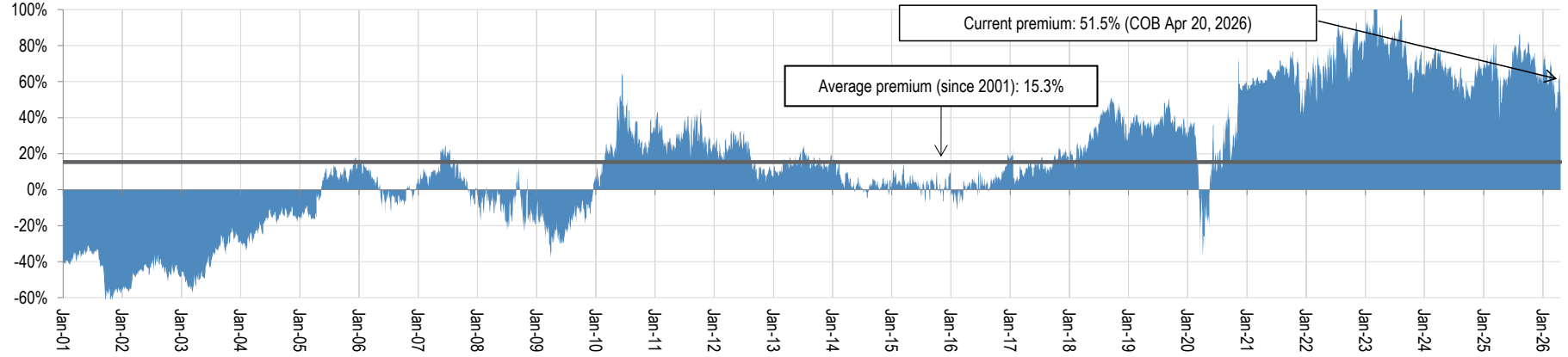
The average 12-month forward P/E for ECA companies has fallen modestly due to the Iran War



Source: Datastream (COB Apr 16th, 2026)
Note: Civil Aero includes: AIR, SAF MTU, RR (excluding 2016 to 2021 when multiples were distorted by multiple issues), MRO (from April 21st 2023), MGGT (until Aug 2nd, 2021 when the Parker-Hannifin bid was first announced), and ZOD (until end 2015; from 2016 onwards ZOD's P/E was distorted by major profit warnings, M&A speculation, and the initial bid from SAF in Jan 2017).

Figure 6: European Civil Aero (ECA) – 12-month forward P/E relative to MSCI Europe since 2001 (IBES consensus)

ECA sector is still trading at a significant premium to the market



Source: Datastream (COB Apr 1st, 2026)

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Completed 22 Apr 2026 12:27 AM BST

Disseminated 22 Apr 2026 12:27 AM BST

David H Perry, CFA [AC]
(44-20) 7742-5606
david.h.perry@jpmorgan.com